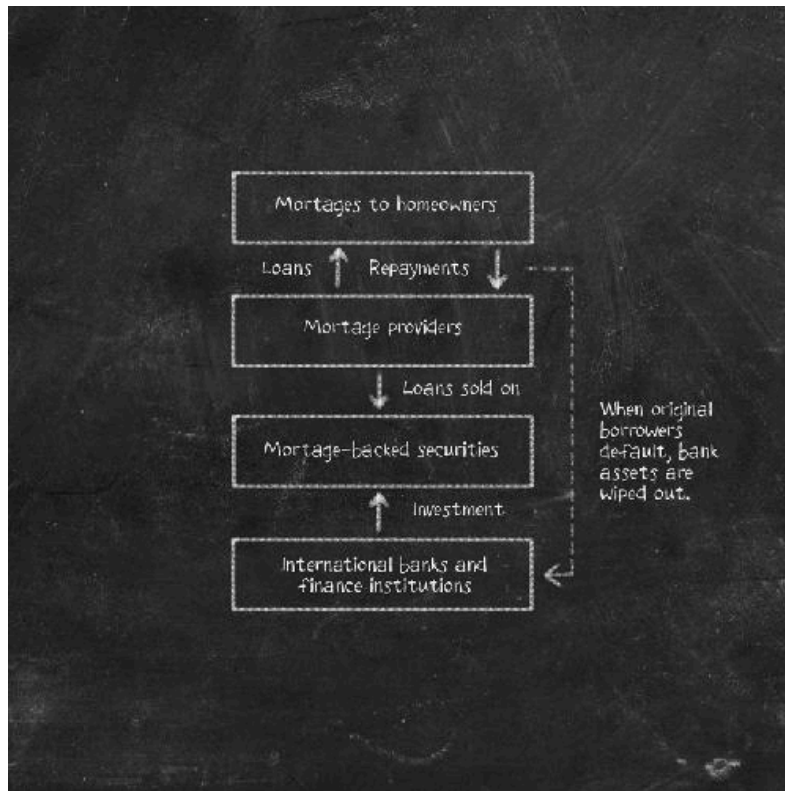


Financial crises

There are many kinds of financial crisis. The recent global crisis has led to the revival of an idea put forward in the 1960s by Hyman Minsky, who argued that economic stability inevitably gives rise to instability and crisis. With sustained economic growth comes confidence in the future: people borrow money to invest in assets such as houses, and as confidence grows they may take on greater risk – they might take out larger loans and only pay back the interest, anticipating that the value of their assets will rise.

In the run-up to the crisis of 2008, generous lending was fuelled by a growing market for financial securities based on mortgage loans. As a result, loans were issued to many homebuyers who were at a high risk of defaulting on their payments. Eventually, the behaviour encouraged by widespread confidence leads to instability – a so-called ‘Minsky moment’. When the US housing market began to decline many borrowers couldn’t repay, leaving lenders with huge debts and triggering the crisis.



Circumstances leading to the financial crisis of 2008